

Triple Tax Benefit

Tax. Just three letters but the power that these three letters wield over our psyche is immense. And no where is it more evident than in the efforts that people tend to devote towards the cause of reducing their tax liability in the last three months of the financial year.

Buying life insurance has always formed an integral part of an individual's annual tax planning exercise. However, most times people buy it for the wrong reason - saving tax. While it is important for individuals to plan their tax, it is equally important that they buy insurance keeping in mind their long-term financial goals.

This note explains the role of life insurance in an individual's tax planning exercise.

Insurance plans and Section 80C:

Premiums paid towards life insurance are eligible for deduction from the individual's income under Section 80C, thereby reducing his tax liability. Maximum deduction up to Rs.1,00,000 is permissible collectively under Section 80C, 80CCC and Section 80CCD*.

Some important points:

- Premiums are deductible on payment basis and not due basis, which means deduction will be allowed only if actual payment is made.
- Only premiums paid to the extent of 20% of the sum assured will be deducted in any financial year. For instance if sum assured is Rs.2,00,000 and premium paid is Rs. 50,000 in a single policy, the total deduction from taxable income is Rs.40,000 (20% of sum assured).
- For an individual, premiums paid for the policies taken for self, spouse or any child and in case of an Hindu Undivided Family (HUF) any member of HUF, will qualify for deduction.

*This Section applies to pension contribution of all Central Govt. employees who have joined service post Jan '04.

Pension plans and Section 80CCC: Premiums paid under this Section would qualify for deduction up to a maximum of Rs.1,00,000 per annum. This is subject to the condition that the aggregate deduction under Section 80C, 80CCC and 80CCD does not exceed Rs.1,00,000.

For instance, if an individual has already invested Rs.95,000 under Section 80C, then the maximum deduction which can be claimed under Section 80CCC cannot exceed Rs.5,000.

After claiming deduction under this Section, if the policyholder surrenders the policy either in whole or in part the surrender value of the policy will be taxable for that year.

Pension when received from the insurance company will be

taxable in the hands of the policyholder or nominee, as the case may be, in the year of receipt.

Health plans and Section 80D: Deductions under this Section could be available for premiums paid under mediclaim policies, health

policies which provide for fixed benefits upon hospitalization, critical illness and other health riders attached with life insurance policies.

Premiums paid (any mode other than cash), up to a maximum amount of Rs.15,000 per annum qualify for deduction from the total income in this Section. This amount goes up to Rs.20,000 in case of senior citizens (65 years and above).

An individual can take a policy for self, spouse, dependent children and dependent parents. In case of an HUF, policy can be taken for any member of the family.

So go ahead and choose a policy that not only satisfies your short-term tax needs but also caters to your long-term financial goals. We at ICICI Prudential Life Insurance Company Limited provide you with insurance plans that help you guarantee your long-term goals be it child's education, retirement planning, health protection or wealth creation. Do write in to us at chintamani@iciciprulife.com if you have any tax or product related queries and we will be glad to assist you. Jeetey Raho!

Components	ULIP Sec 80C	Health Sec 80D	ULIP+Health combo Sec 80C & 80D
Taxable income (For which you can avail a tax benefit)	Rs.1,00,000	Rs.15,000	Rs.1,15,000
Tax (30% on income)	Rs.30,000	Rs.4,500	Rs.34,500
Surcharge (10% on Tax) *	Rs.3,000	Rs.450	Rs.3,450
Edu Cess (3% on Tax + Surcharge)	Rs.990	Rs.148.5	Rs.1,138.5
Total tax benefit	Rs.33,990	Rs.5,098	Rs.39,088

*Valid for annual income above Rs. 10 lakhs

**Triple
Tax Benefit**

Invest today and save tax up to

Rs. 39,088

u/s 80C, 80CCC & 80D^

sms 'HUNDRED' to 57827*

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^ Tax benefits under the policy are subject to conditions under Section 80C, 80CCC, 10(10A), 80D and 10(10D) of the Income Tax Act, 1961. Service tax and education cess will be charged extra as per applicable rates. The tax laws are subject to amendments from time to time. *Available in select cities only. Insurance is the subject matter of the solicitation. © 2008, ICICI Prudential Life Insurance Company Limited. Registered Address: ICICI Prudential Life Insurance Co. Ltd., ICICI PruLife Towers, 1089 Appasahib Marathe Marg, Prabhadevi, Mumbai-400 025. Reg. No. 195. Advt. No. 77/77/2007-08.